



सूक्ष्म, लघु और मध्यम उद्यम मंत्रालय
MINISTRY OF
**MICRO, SMALL & MEDIUM
ENTERPRISES**

MSME SUSTAINABLE (ZED) CERTIFICATION

GUIDANCE DOCUMENT

NIC DIVISION 16 – Manufacture of wood and products of wood and cork, except furniture; manufacture of articles of straw and plaiting materials



“This Guidance Document is meant to provide guidance to the MSMEs on the requirements of ZED Certification. Aim of the guidance document is to make the MSMEs aware on systems, processes and practices that may be adopted to effectively fulfil the requirements of the ZED Certification standard for the relevant NIC Division. The document will also assist the assessors to gain deeper insight into the sector specific requirements leading to uniformity in assessments.”

GUIDANCE FOR BRONZE CERTIFICATION

S. No.	Parameter	Guidance
1.	Leadership	Leadership should drive the organization towards growth by inculcating Zero Defect Zero Effect culture. Activities that may be included (but not limited to): - Communicating & directing all stakeholders on the ZED culture/practices - Periodically reviewing organizational performance on the ZED parameters including regulatory requirements
2.	Swachh Workplace	Identify and implement systems based on the requirements for cleanliness & hygiene that may include statutory & regulatory requirements, customer requirements, process and product requirements. Activities that may be included (but not limited to): - Proper nomenclature and labelling of buildings/units/ yards/areas - Task Identification based on the nature of task (housekeeping / process cleaning / maintenance etc.) - Employee Role Assignment with well-defined responsibilities – who will do what - Training of all employees on Cleanliness & Hygiene requirements - Provisions to keep the area dust free - Documentation / SOPs/ Log-sheets depicting activity schedules - Ensuring proper Work Area Layout for process isolation / containment - Periodic audits/checks and action plan in case of deviations, if any, identify Root Cause and take Corrective & Preventive Actions (CAPA) - Tools like 5S may be implemented
3.	Occupational (Workplace) Safety	Identify and implement safety systems based on Hazard Analysis & Risk Assessment to identify safety requirements including statutory & regulatory requirements, customer requirements, process and product requirements. Activities that may be included (but not limited to): - Establishing Safety Policy & communicating to all stakeholders including supply chain - Training of all employees on safety and safety requirements - Providing relevant Personal Protective Equipment (PPEs) to the employees/workers - Signage & Pictograms/Pictures to alert about expected behavioral response, in adequate numbers - Maintaining Accident/Incident register to record all incidents or accidents - Specific area of concern for Furniture Industry should be Fire Safety. Fire load assessment must be done Monthly. Company must have objectives to reduce fire load. Assessment of Fire Fighting equipment must be done monthly in accordance with Fire load - Surface Finishing Chemicals & Foaming Chemicals are highly flammable so proper control must be exercised. Similarly, Raw materials like Plywood, Fabric, Foam, EPS etc. propagate spread of fire so storage & Firefighting equipment in their storage area must be specifically given a lot of importance.

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		- Specific Safety Hazards for furniture industry are cuts while sawing wood so saw blades must always be guarded & engineering controls must be established. Cuts while handling MS sheets so Proper Hand gloves must be used while handling MS sheets - Another Hazard specific to Furniture industry is wood dust so company needs to install air filter for each wood working machine - Provision of workers Amenities including personal protection kit, in-plant shower / eye wash; first-aid kit etc. - Development of procedures to control hazards that may arise during non-routine operations (e.g., removing machine guarding during maintenance and repair) - Systems to ensure timely availability of medical/emergency services - Maintenance of emergency response equipment - Mock drills for emergency evacuations in case of blasts, accidents or fire - Periodic Safety audits and action plan in case of deviations and incidents, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)
4.	Measurement of Timely Delivery	Identify and implement systems to measure the performance of timely delivery Activities that may be included (but not limited to): - Recording contract delivery schedules - Monitoring & measuring delivery timelines (On-Time in Full) - Use of technology/systems to track and measure the deliveries
5.	Quality Management	Identify quality aspects and implement systems for products and processes to ensure consistent, high quality products and customer satisfaction. Activities that may be included (but not limited to): - Establishing Quality Policy & communicating to all stakeholders - Identifying quality requirements of the customers, regulators, products and processes and implement systems to fulfil the requirements - Training all employees on quality & processes - Ensuring that employees at all levels are involved in quality improvement initiatives - Periodic Quality audits and action plan in case of deviations, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)

GUIDANCE FOR SILVER CERTIFICATION

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1.	Leadership	Leadership should drive the organization towards growth by inculcating Zero Defect Zero Effect culture. Activities that may be included (but not limited to): ▪ Communicating & directing all stakeholders on the ZED culture/practices ▪ Periodically reviewing organizational performance on the ZED parameters including regulatory requirements
2.	Swachh Workplace	Identify and implement systems based on the requirements for cleanliness & hygiene that may include statutory & regulatory requirements, customer requirements, process and product requirements. Activities that may be included (but not limited to): ▪ Proper nomenclature and labelling of buildings/units/ yards/areas ▪ Task Identification based on the nature of task (housekeeping / process cleaning / maintenance etc.) ▪ Employee Role Assignment with well-defined responsibilities – who will do what ▪ Training of all employees on Cleanliness & Hygiene requirements ▪ Provisions to keep the area dust free ▪ Documentation / SOPs/ Log-sheets depicting activity schedules ▪ Ensuring proper Work Area Layout for process isolation / containment ▪ Periodic audits/checks and action plan in case of deviations, if any, identify Root Cause and take Corrective & Preventive Actions (CAPA) ▪ Tools like 5S may be implemented
3.	Occupational (Workplace) Safety	Identify and implement safety systems based on Hazard Analysis & Risk Assessment to identify safety requirements including statutory & regulatory requirements, customer requirements, process and product requirements. Activities that may be included (but not limited to): ▪ Establishing Safety Policy & communicating to all stakeholders including supply chain ▪ Training of all employees on safety and safety requirements ▪ Providing relevant Personal Protective Equipment (PPEs) to the employees/workers ▪ Signage & Pictograms/Pictures to alert about expected behavioral response, in adequate numbers ▪ Maintaining Accident/Incident register to record all incidents or accidents ▪ Specific area of concern for Furniture Industry should be Fire Safety. Fire load assessment must be done Monthly. Company must have objectives to reduce fire load. Assessment of Fire Fighting equipment must be done monthly in accordance with Fire load ▪ Surface Finishing Chemicals & Foaming Chemicals are highly flammable so proper control must be exercised. Similarly, Raw materials like Plywood, Fabric, Foam, EPS etc. propagate spread of fire so storage & Firefighting equipment in their storage area must be specifically given a lot of importance.

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4.	Measurement of Timely Delivery	Identify and implement systems to measure the performance of timely delivery Activities that may be included (but not limited to): - Recording contract delivery schedules - Monitoring & measuring delivery timelines (On-Time in Full) - Use of technology/systems to track and measure the deliveries
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6.	Human Resource Management	Identify human resource requirements to ensure that the organizational goals are fulfilled as planned. Activities that may be included (but not limited to): - Establishing skill set matrix for effective deployment of people - Regularly training employees (both regular & contract) on relevant processes including quality, safety, energy, environment & natural resource conservation - Reviewing the effectiveness of training & employee development initiatives - Encouraging engagement of the employees through various initiatives that may include idea generation, suggestion box, quality circles, Kaizen, Six Sigma projects, Reward & recognition systems etc.

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7.	Daily Works Management	Establish Daily Work Management System to ensure that Quality, Cost & Delivery, are measured, monitored & communicated. Activities that may be included (but not limited to): ▪ Setting up targets for Quality Cost & Delivery (QCD) for every day work ▪ Communicate the above to relevant employees ▪ Display QCD targets & trends at prominent locations for awareness and motivation ▪ Monitor the progress of QCD on daily basis to address deviations, if any, and identify Root Cause and take Corrective & Preventive Actions (CAPA), as required
8.	Planned Maintenance & Calibration	Identify the requirements of maintenance of all equipment & devices and develop systems for planned maintenance & calibration, as applicable. Activities that may be included (but not limited to): ▪ Scheduling maintenance & calibration of all equipment & devices, as required ▪ Adherence to the schedule ▪ Measuring Mean Time To Repair (MTTR) & Mean Time Before Failure (MTBF)
9.	Process Control	Identify the process control requirements to ensure that the requirements, as necessary, are fulfilled. Activities that may be included (but not limited to): ▪ Defining Process Flow diagram/ description of unit processes for the whole unit, section-wise, for each product ▪ Identifying Critical Processes including Powder coating, spot welding etc., based on process analysis, identification & setting up of boundary conditions of critical activities as may be appropriate ▪ Sensors and monitoring systems may include sensors, IoTs etc. to gather data/real-time data about for quality checks ▪ Periodic Quality audits and action plan in case of deviations, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)
10.	Product Quality & Safety (Testing / Certification)	Identify the testing/certification requirements to ensure product quality & safety. Activities that may be included (but not limited to): ▪ Identifying requirements of testing and/or certification for all products being manufactured e.g., testing for product specification, certification to relevant BIS standard/ specified tests like Baking Oven Calibration, Impact tests, Bend test, Cross hatch adhesion, accelerated Salt Spray test, Nugget test, Carbon test etc. ▪ Checking the product(s) against specifications like item weight & dimensions, material & construction, item color, item marking & labelling etc. ▪ Provision of laboratory facility, wherever applicable ▪ Documentation / Log-sheets depicting analytical tests & related reports (raw materials, intermediates & products), following protocols laid down in concerned specifications, with traceability ▪ Periodic audits and action plan in case of deviations, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)

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11.	Material Management	Identify the requirements for material management to ensure optimal inventory, reduce material wastage and associated risks. Activities that may be included (but not limited to): ▪ Listing & Classification of materials being handled with indicative quantity, shelf life of material with expiry date, classification of inventory into slow moving, non- moving & obsolete inventory, etc. Also, the minimum inventory level should be defined so that material is procured at the right time and avoid shortage and stoppage in production ▪ Training of relevant employees and people on material management & handling ▪ FIFO (First In First Out) for materials including the items with limited shelf life, for example, Powder coating powders, Certain types of Glues, Post forming Laminates, Batteries & Various other proprietary electronic components, Proprietary Chemicals, which may carry shelf life conditions. ▪ Materials identified as scrap should be stored separately and disposed-off periodically ▪ Inventory Control by recording & monitoring material(s) issued and received ▪ An efficient layout for warehouse should be maintained ▪ Periodic audits and action plan in case of deviations, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)
12.	Energy Management	Ensure energy efficiency and conservation. Activities that may be included (but not limited to): ▪ Identification of energy sources that are utilized. Energy sources may be electricity, Diesel, Coal, Solar Power etc. ▪ Identification and monitoring of high energy consumption processes & equipment (boiler / chiller / TF heater etc.) to ensure optimum capacity utilization ▪ Establishing targets for energy savings ▪ Insulation in adequate thickness to minimize energy loss for cold & hot (glass wool / ceramic wool etc.) ▪ Selection & design of appropriate components/devices based on process requirement (viz., type of stirrer / pumps etc.) & BEE star rating equipment, wherever applicable, ▪ Installation of VFDs, LED lights etc. ▪ Layout of equipment & piping network to follow process flow for simplified material handling & optimum energy usage ▪ Electrical Systems to be designed for high Plant Load Factor (PLF), preference for 3 phase motors to avoid imbalance ▪ Implementation of automated control systems and building management system (IoT and sensor-based systems) to reduce uncertain breakdowns and shutdowns saving energy and bringing efficiency ▪ Training relevant employees & people ▪ Planning & adoption of renewable energy resources like Solar power

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		Periodic audits and action plan in case of deviations, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)
13.	Environment Management	Ensure compliance to environment management and pollution control requirements. Activities that may be included (but not limited to): - Identifying environmental aspects & impacts of all product & process stages, for e.g., Saw dust, Foaming chemicals (polyol & Isocyanate), Thinners & release agents, Solvent based glues, Particle boards & MDFs - Identifying and fulfilling all statutory & regulatory requirements including requisite environmental testing from NABL accredited laboratories - Establishment of infrastructure, equipment and systems to manage and monitor effluents (liquid discharge), emissions (gaseous discharge), hazardous waste, e-waste, etc. - Drainage Management for proper treatment / disposal mechanism of washing / effluents – separate channels for domestic & process/ wash discharge; plan to monitor & control - Paints and thinners, where used, should be properly disposed-off - Training relevant employees & people - Periodic audits and action plan in case of deviations, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)
14.	Measurement & Analysis	Establish targets and process for measurement and analysis of the following (but not limited to) for improvement: - Defects- arising during the process, inspection or at customer end - Rework- arising during the process, inspection or at customer end - Rejection- arising during the process, inspection or at customer end - Cost of Poor Quality (COPQ)- overall cost of poor quality that includes, appraisal cost, prevention cost, internal cost & external cost - Customer Satisfaction

GUIDANCE FOR GOLD CERTIFICATION

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15.	Supply Chain Management	Identify the requirements related to vendor/supply chain management. Activities that may be included (but not limited to): - Developing processes to identify, select, evaluate & develop suppliers - Monitoring performance of the vendors/ suppliers and out- sourced partners, periodically - Timely communication to the vendors/suppliers for improvement and sensitizing them on energy, environment, natural resource management, best practices, etc.
16.	Risk Management	Identify the risks that may pose challenge/threat to the organization that may disrupt business. Activities that may be included (but not limited to): - Identifying all the risks including safety and supply chain disruptions - Developing plans to address the risks - Implementing measures to mitigate/reduce risks - Reviewing risks and mitigation plans periodically
17.	Waste Management	Identify different types of wastes for eliminating/reducing them and enhance productivity. Activities that may be included (but not limited to): Training of employees on Muda, Mura, Muri

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18.	(Muda, Mura, Muri)	- Identifying Muda, Mura & Muri wastes - Establishing targets & action plans to eliminate/reduce wastes - Monitoring of Muda, Mura, Muri wastes
	Technology Selection & Upgradation	Understand the importance of technology in business operations. Activities that may be included (but not limited to): - Periodic assessment of existing technology in the unit for need of upgradation, if any - Training/exposure to the Best Available/latest Technology in the market - Planning and adoption of latest technology including Internet of Things (IoT), sensors, Cloud computing, Artificial Intelligence (AI), etc.
19.	Natural Resource Conservation	Ensure natural resource conservation. Activities that may be included (but not limited to): - Identification of natural resources consumed (viz., water, biomass, fossil fuel etc.) - Assessment of possibility to reduce consumption & / or, recovery of such resources from process effluents (viz., water through ZLD approach) - Establishing targets for natural resource conservation - Workplace Design to maximize utilization of natural light, as may be appropriate - Ventilation / HVAC Design to promote natural air draft, as may be appropriate - Adopting measures and promoting water conservation by reducing water usage and recycling of the water in the processes - Training relevant employees & people - Periodic audits and action plan in case of deviations, if any, to identify Root Cause and take Corrective & Preventive Actions (CAPA)
20.	Corporate Social Responsibility	Ensure that the organization operates in a socially responsible manner and contributes to Societal well-being. Activities that may be included (but not limited to): - Identifying statutory & regulatory requirements, as applicable - Identifying areas that the organization wants to contribute towards the societal well-being. These may include, but are not limited to Organizational Governance, Labour Practices, Environment, Fair Operating Practices, Community Involvement & Development - Establishing targets & resources - Monitoring & reviewing the progress